Does Class Matter? Class Structure and Worsening Inequality in India

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Does class structure matter in understanding the increasing inequality in India during the period of economic liberalisation? There is now clear evidence from the National Sample Survey quinquennial household consumer expenditure surveys conducted in 1993-94 and 2004-05 that increased distance between urban elites (owners, managers and professionals), rural rentier classes (such as moneylenders and absentee landlords) that are more stratified at the top, and unskilled urban workers, marginal farmers and agricultural workers, who are increasingly more stratified at the bottom, helps us understand the distributional dynamics of the Indian growth story. This paper analyses the class structures in India and decomposes the overall inequality into inter-class and intra-class terms. It explains these changes by analysing the Indian policies during this period.

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1 Why Focus on Class Structure?

It is now well known that the Indian economy has been experiencing relatively high growth rates consistently exceeding 5% in every decade since 1980 (Dutt and Rao 2000; *Economic Surveys 2000-09*, Ministry of Finance, Government of India). While there was a major regime shift in 1991 when India introduced market-oriented economic reforms in most of its sectors and increased its openness to the global economy, the Indian growth story continued. It is also acknowledged now that the income distribution has taken a turn for the worse since 1991 (Himanshu 2007). This reverses a trend of declining or stagnant inequality during the 1980s, when a growth spurt first occurred in India with a strong push from the state. However, trends in overall Indian inequality have been understudied except at a fairly general level such as the inter-household, inter-sectoral (rural vs urban) or inter-state level (Chaudhuri and Ravallion 2006; Himanshu 2007). While the already published work helps us understand inequality at a broad level, it does not illuminate the dynamics of how different groups/classes have begun to witness increases in relative prosperity or relative pauperisation. Understanding this dynamics is crucial both to examine whether class structure matters in explaining distributional changes as well as to show whether particular classes or occupations have been included/excluded in the growth process. This paper sheds light precisely on these questions by analysing in class terms, the Indian household consumer expenditure surveys conducted by the National Sample Survey Organisation (NSSO).

After economic reforms were introduced in India, there have virtually been no empirical large-scale economic studies on India that have worked with the construct of class to examine its impact on economic and social change. Especially since the 1990s, this absence becomes glaring as sociologists, political scientists and other social observers have argued that the class structure in India has not only undergone a "great transformation"[1] but also that it has been central to understanding Indian economic policy initiatives during the last two decades (Chatterjee 2008). Since policy initiatives are not undertaken in a vacuum, we know that different class interests pressure the state to pursue different sets of policies, whether they are rich minorities or poor majorities. State policies that support the former interests may help promote inter-class inequality, and those that are guided primarily by the latter interests tend to be regarded by some as populist (like the National Rural Employment Guarantee Scheme (NREGS) in India) but usually tend to put a lid on growing income gaps. So far, while careful social observers (for example, Patnaik 2009) have pointed out that Indian economic policies after 1991 have tended to exacerbate inequalities between classes, there has been no large empirical study that establishes this story convincingly.[2] In this paper, I use the Consumer Expenditure Household Surveys from 1993-94 and 2004-05 to examine whether the rising Indian inequality has been due to increased inter-class or intra-class inequalities. Also, I estimate the consumption levels of different classes in terms of consumer expenditure and examine how these levels are undergoing changes during this period. Using Yitzhaki methodology (1994) to decompose the Gini coefficient into inter-class and intra-class components, I am also able to show tendencies towards stratification in the Indian economy that shed light on the nature of the rising inequality in India.[3]

The rest of the paper is organised as follows. Section 2 presents the theoretical framework employed in order to define classes and a class structure. Section 3 discusses the data used to describe classes and make comparisons. It also discusses the limitations of the data sources employed. Section 4 presents the main results using the Indian class structure. Section 5 describes the Yitzhaki method briefly and discusses the results of the Yitzhaki decomposition of the Gini coefficient for India. Section 6 explains the results of Sections 4 and 5 and concludes.

2 Defining a Class Structure for India

There have been many frameworks to define classes in modern societies. While in popular parlance, class is defined in income terms (rich, middle and poor or with many gradations in between such as upper middle class, lower middle class, etc), for many social scientists, this is not a satisfactory device since it uses the outcome, i e, income, of various social dynamics to define class. Other frameworks have tended to focus on economic, political and consciousness based notions to define class (for example, Thompson 1963). Usually, sociologists have tended to focus on notions of authority/power and status to define and embellish class even when they are using explicitly economic class categories (Wright (1997) for a contrast of the Marxian and Weberian class schemas). In some recently popular frameworks in Indian nationalist historiography such as Subaltern Studies, terms such as elite/subaltern have been deployed which are primarily power-based or consciousness-based categories.

In the economics literature that excludes the income-based definitions, the towering intellect around which class frameworks have been defined is that of Marx. In this context, the predominant use of class among Marxist scholars has been around the idea of ownership. Marx theorises the transition to capitalism in England, wherein he makes a stark distinction between those that come to own property through force and plunder, and the masses that are expropriated from their property and are forced to sell mainly their ability to perform labour (labour power). Marx builds on this description of class in the pages of *Capital* Volume I (1867: 1976), Volume II (1894: 1978) and Volume III (1894: 1981) where he argues that class is defined at the site of production, i e, a class of people/workers that perform labour and earn wages while they also produce economic surplus/profits for the entire capitalist society, while the other classes appropriate and live off this surplus. Marx expands on these latter classes in *Capital*, Volume III and shows how it is not merely the industrial or agricultural capitalists that live off this surplus but also other classes such as moneylenders (receive interest), merchants (receive trading margins), landlords (receive rent), shareholders (receive dividends), managers (receive salaries) and the state (receives taxes) amongst others. While Marx appreciates the heterogeneity of the working class in his writings, he does not overly dwell on the differences within the working class as he was more focused on teasing out the distinctions between the working class and all the other classes that live off the surplus that is produced by the working class.

For this paper, I resort to the use of two class schemas. The first schema uses broad consciousness categories (applicable to India) to arrive at simplified class categories. This schema identifies only two classes in the urban areas, viz, elite (which includes owners, managers and professionals) and the workers (other than professionals). In rural areas, four classes are identified keeping in mind the differences between agricultural and non-agricultural workers. These four classes are – rural elite (both the big farmers and the non-agricultural elites that include owners, moneylenders, professionals, and absentee landlords), rural non-agricultural workers, small farmers and agricultural workers. The whole schema consists of six classes and relies primarily on how society broadly views classes in terms of self-identification of status and power.

The second schema uses Marx's latter definition to demarcate a broad distinction between the working class and the other classes in the urban sector. The working class, which is defined by its role in production, is quite heterogeneous in most modern societies, and it is no different in India. There is a widely accepted distinction between skilled and unskilled work. The skilled are to be further subdivided into professionals and skilled workers.[4] This makes for a three-tier structure within the working class – professional, skilled and unskilled. Generally, it is also acknowledged that there are fundamental distinctions between working people in manufacturing and services.[5] Once this distinction is built into the class schema, I arrive at six sub-classes within the working class. Of the non-workers, given the limitations of data and the occupational categories available in the datasets (discussed in the next section), I arrive at two composite classes, viz, owners and managers in the formal sector, and owners and managers in the informal sector. Managers are included alongside owners since their role in the labour process is primarily supervisory and they live off the surplus value that productive workers produce.

In the rural sector, the Indian class structure is primarily defined by the failure of a crucial state policy that distinguishes India from the successful Asian economies to its east. This is the near complete failure of land reforms as a state policy. Given this failure, the class structure in agriculture is fundamentally split between the landed and the landless at the broadest level. But among the landed, there are many differences but the most crucial distinction of these is the quantum of land ownership. I divide the landed groups into four classes – Rich, Middle, Small and Marginal/Tenant (empirical details provided in the next section). Roughly, the first two groups hire net-labour power, the third group is balanced in its labour-power selling and buying, and the last group is net-labour power selling.[6] The non-agricultural population can be divided into five classes. First, the rentier class can be further divided into the moneylender and absentee landlord classes. Second, the non-agricultural self-employed group (usually quite heterogeneous) that cannot be further subdivided due to data difficulties described below. Third, the working class can be divided into two classes: the rural non-agricultural professionals (for instance, the government officials and those who possess formal employment) and the other workers. In both urban and rural sectors, there is also an unclassified section that defies further subdivision given the data limitations.

3 Data, Definitions and Limitations

The data source used for this analysis is the Indian National Sample Survey, Household Consumer Expenditure Data, rounds 50 (1993-94) and 61 (2004-05). In the 50th round, 1,15,354 households were selected in the sample, out of which 69,206 are from rural area, and 46,148 are from the urban area. In the 61st round, 1,24,643 households were selected out of which 79,297 are in the rural area, while 45,346 are from the urban area. The basic unit of analysis is the household for which monthly consumer expenditure data are available. However, I use the household size to obtain the monthly per capita expenditure levels. All the results presented below are expressed as per capita consumption expenditure data adjusted to annual figures and further adjusted to 2005 PPP $.

Classes are defined using occupational data obtained from the National Classification of Occupations (NCO 3-digit 1968 scheme) codes of various occupations listed in the Indian sample. Therefore, this generates a maximum of 1,000 occupations, although less than 400 occupations are listed in the actual scheme. NSSO assigns an occupation to a household based on the principal occupation of the members of the household.

For the urban data, the proprietary and managerial classes have been split into formal and informal categories based on the occupational descriptions (NCO) and nature of the industry (National Industrial Classification Codes – NIC). These classes include the proprietary or managerial classes directly available from the NCO descriptions as well as from the category of self-employed (based on a survey question). Based on the NIC codes that are available in the surveys, I assigned the workers either to manufacturing or service sectors. Further in each of these sectors, subdivision was made among professionals, skilled workers and unskilled workers based on the description of the occupations.

For the rural sample, using occupational data for the non-agricultural population, rural professionals and rural moneylenders are identified. Of the remaining, the self-employed among the non-agricultural community are defined based on one of the NSS survey based questions and this cannot be further subdivided. Of these and others that own more than half-acre of land, while pursuing occupations other than agriculture, absentee landlord category is defined. Using the NSS survey-based question that identifies agriculture as the primary occupation of the household, based on land data, the agricultural community is divided into five classes. Those that own more than 10 acres[7] are defined as rich farmers. Those that own between five and 10 acres are defined as middle farmers. Those that own between two and five acres are designated as small farmers. Those that own less than 2 acres are called marginal farmers. Those that own no land but depend on agriculture as their primary source of livelihood, and define themselves as workers, are defined as the agricultural workers.

The biases in these surveys are that the upper end consumption groups are not adequately sampled, while the formal owner and managerial class is severely under-represented. These have a bearing both on computing the level of inequality in the Indian economy (inequality is, therefore, underestimated) as well as in determining the relative position of a class such as the owner and managerial class vis-à-vis other classes. Moreover, consumption distribution is usually more equal than income distribution.

4 Results I: Indian Class Structure

4.1 Simplified Class Structure

From Table 1, which presents the simplified class structure, we can make the following observations. First, in terms of the levels of consumption, at both points in time (1993-94 and 2004-05), the urban classes are better off than their rural counterparts. As expected, the urban elite (owners, managers and professionals) are the best placed among the six classes presented, and the agricultural workers are at the bottom. Otherwise, the ranks of different classes are as expected.

Table 1: Simplified Class Structure

	1993-94			2004-05			
	Mean	Pop (%)	Mean Ratio	Mean	Pop (%)	Mean Ratio	Ratio Growth
Urban elite	984	7.44	1.94	1,189	8.19	2.04	0.06
Urban workers	703	17.35	1.38	758	17.13	1.30	-0.06
Rural elite	480	32.18	0.94	559	29.44	0.96	0.02
Non-agriculture workers	417	6.67	0.82	488	11.01	0.84	0.02
Rural small peasants	412	15.62	0.81	456	15.67	0.78	-0.03
Agricultural workers	322	20.74	0.63	354	18.56	0.61	-0.04
All	509	100.00	1.00	582	100.00	1.00	0.00

1 All statistics for Tables 1 to 11 computed from the Indian National Sample Survey rounds 1993-94 (Round: 50) and 2004-05 (Round: 61).

In terms of change (defined as the rate of change in the ratio of class mean to the population mean over the period) too, it can be seen from Table 1 that the biggest gainers are the urban elite. Moderate gainers are the rural elite and rural non-agricultural working class. The biggest losers are the urban working class, small peasants and agricultural workers.

4.2 Detailed Class Structure

From Table 2 (p 70), it can be seen that in terms of the levels of consumption, the ranks are more or less along expected lines. The only interesting thing to note is that the consumption levels of service sector professionals are the highest amongst all classes in 2004-05. This shows how the relative position of the service sector and the service professionals in particular after reforms has begun to witness improvement at the higher end of the income ladder.[8]

Table 2: Detailed Class Structure

Class	1993-94 Mean	Pop (%)	Ratio	2004-05 Mean	Pop (%)	Ratio	Ratio Growth
Owner/manager (formal)	1,345	0.95	2.64	1,490	1.16	2.55	-0.03
Owner/manager (informal)	816	3.58	1.60	982	4.32	1.68	0.05
Manufacturing-professional	1,006	1.60	1.98	1,247	0.45	2.14	0.08
Manufacturing-skilled	682	6.17	1.34	721	6.72	1.24	-0.08
Manufacturing-unskilled	527	2.14	1.04	537	1.47	0.92	-0.11
Service-professional	1,170	1.25	2.30	1,534	1.01	2.63	0.14
Service-skilled	884	4.59	1.74	1,055	3.85	1.81	0.04
Service-unskilled	629	4.46	1.24	648	5.08	1.11	-0.10
Urban-unclassified	872	0.05	1.72	1,331	1.25	2.28	0.33
Urban sub-total	787	24.74	1.54	897	25.20	1.54	0.00
Rich farmer	524	7.36	1.03	601	6.23	1.03	0.00
Middle farmer	445	8.02	0.87	497	7.54	0.85	-0.03
Small farmer	406	10.52	0.80	459	10.07	0.79	-0.01
Marginal farmer/tenant	426	5.09	0.84	451	5.59	0.77	-0.08
Agriculture workers	322	20.74	0.63	354	18.56	0.61	-0.04
Rural professional	600	2.62	1.18	928	1.50	1.59	0.35
Rural moneylender	669	0.01	1.31	999	0.01	1.71	0.30
Absentee LL+ non-agriculture self-employed	465	3.31	0.91	563	4.94	0.97	0.06
Non-agriculture self-employed	422	6.15	0.83	482	7.40	0.83	0.00
Absentee LL + others	514	1.08	1.01	690	0.98	1.18	0.17
Non-agriculture workers	417	6.67	0.82	488	11.01	0.84	0.02
Rural unclassified	483	3.64	0.95	650	0.87	1.11	0.17
Rural sub-total	417	75.26	0.82	476	74.80	0.82	0.00
All-India	509	100.00	1.00	583	100.00	1.00	0.00

In terms of change, the biggest gainers are the urban professionals (service and manufacturing), urban informal managers and owners, urban unclassified, rural moneylenders, rural professionals, absentee landlords, and rural unclassified. Broadly, it is the service sector that has made rapid strides in terms of improvements in the urban areas, and the rural rentier classes that have improved in rural areas. The biggest losers are the urban unskilled workers (both manufacturing and service), urban skilled (manufacturing) workers, rural marginal farmers and tenants, and agricultural workers.

Tables 1 and 2 give a broad picture wherein the urban elites have begun to march ahead of the rest of the classes. The glaring gaps are between the relative enrichment of the professionals and the relative decline of the agricultural workers and small peasants. These results give a preview of how the detailed inequality decomposition results would turn out.

5 Results II: Analysing Indian Inequality, Does Class Matter?

In terms of the overall story of changing inequality in India, the main observation is that there is an almost four points (more than 10%, which is very likely an underestimate as discussed above) increase in the Gini coefficient between 1993-94 and 2004-05. This is a big change after the experience of equal growth in the 1980s. After economic reforms have been introduced, the story of Indian growth has been dis-equalising. By decomposing this inequality along multiple axes such as rural-urban, inter-state, simplified class structure, complex class structure and so forth, I present competing ways of breaking down the increase in inequality into comprehensible structures. Before that, a brief note is presented on the methodology of decomposition.

5.1 Yitzhaki Methodology of Decomposing the Gini Coefficient

The method of Gini decomposition developed originally by Shlomo Yitzhaki[9] offers a unified framework for addressing certain important issues such as how much of the inequality can be explained by the inter-group and intra-group components. Moreover, this method helps us examine whether particular classes are stratified at a point in time and if they are getting increasingly more stratified over time. A brief description is sketched out below.

Let G be the Gini coefficient of consumption. Using the Yitzhaki decomposition methodology (Yitzhaki 1994), we separate G into inter-group inequality (I_b) and a remainder (I_r) that can be interpreted as intra-group inequality:

$$G = I_b + I_r \qquad \text{...(1)}$$

The amount of inter-group inequality is:

$$I_b = \frac{2\,\mathrm{cov}\,(\mu_i, \bar{F}_{oi}(y)),}{\mu} \qquad \text{...(2)}$$

where y is consumption, μ is mean consumption for all persons, μ is mean consumption for group i, and $\bar{F}_{oi}$ (y) is the mean rank of group, i, i e, the average position of the members of a group in the overall distribution. Thus, the amount of inter-group inequality is twice the covariance between the mean amounts of consumption and mean ranks of groups divided by the mean consumption for all individuals.[10]

The remainder term is calculated as:

$$I_r = \sum_i s_i G_i O_i, \qquad \text{...(3)}$$

where s_i is the share of group i in aggregate consumption G, is the Gini coefficient of the consumption distribution within group i, and O_i is the overlapping index for group i.

The index of overlapping proposed by Yitzhaki is a measure of the degree to which the range of consumption in each group overlaps with the range of consumption for all population. Overlapping can thus be seen as the opposite of stratification: the higher the amount of overlap between a group and the population, the less stratified they are as a group in terms of consumption (Yitzhaki 1994: 148-49). The amount to which group i overlaps with the overall distribution is defined as:

$$O_i = \frac{\mathrm{cov}_i\,(y, F_{oi}\,(y))}{\mathrm{cov}_i\,(y, F_i\,(y))}, \qquad \text{...(4)}$$

where F_{oi} (y) is the function that assigns to the members of group i their ranks in the overall distribution F_i is the function that assigns to the members of group i their ranks in the consumption distribution within that group, and cov_i indicates that the covariance is according to the distribution within group i. The minimum value of O_i is given by the share of group i in the population and its maximum value is equal to 2. When the index equals the minimum possible value, it suggests that the group in question is a perfect stratum, i e, it occupies an exclusive segment of the overall distribution. If a particular group has a range of consumption that coincides with the range of consumption of all persons then the index will be equal to 1. Finally, if the index is greater than 1, the distribution of consumption within the group is much more polarised than in the overall distribution. This can happen if the members of the group constitute two strata, one that has higher and the other that has lower than the average consumption of the whole population (Milanovic and Yitzhaki 2002: 162-63).

The index of overlapping defined in equation (4) is constructed from indexes that indicate the amount by which a group overlaps with each of the other groups:

$$O_i = p_i + \sum_{j \neq i} p_j O_{ji} \quad \text{....(5)}$$

where p_i is the share of group i in the total population O_{ji} and is the index of overlapping of group j by group i. Since the overlapping of a group by itself is equal to 1 by definition, its contribution to O_i is equal to its relative size. The index of overlapping of the overall distribution by a group is the weighted sum of overlapping of each of the other groups by that group, with the relative size of each group serving as the weights.

In turn, the group-by-group overlapping indexes are calculated as:

$$O_{ji} = \frac{\text{cov}_i\,(y, F_{ji}\,(y))}{\text{cov}_i\,(y, F_i\,(y))} \quad \text{...(6)}$$

where F_{ji} is the function that assigns members of group i their ranks in the distribution of group j. The index O_{ji} indicates the extent to which the consumption of individuals in group j falls in the range of consumption of individuals in group i (Yitzhaki 1994: 150-52).

Using the Yitzhaki method, various decomposition results are presented below.

5.2 Rural-Urban Decomposition

Table 3 presents the results of the rural urban decomposition using the Yitzhaki method. First, it can be observed that a big share of the overall inequality (more than 80%) can be explained by the intra-group component in both years, although there is a moderate increase in the inter-group inequality, i e, between the rural and urban areas, during the period of study. Second, it is also evident that there is an increase in the intra-group inequality, i e, within-rural or within-urban inequality or both. When we investigate this further, we find out that all the increase in the intra-group inequality comes from the urban contribution to that component. The rural contribution to the intra-group component remains unchanged because the fall in the rural share of consumption offset the increase in their Gini. Third, in terms of the overlapping indexes, urban overlapping index has declined suggesting a greater stratification of the urban vis-à-vis the rural. These results are in consonance with a lot of studies as well as the changing sectoral contributions to the GDP, while the employment structure does not change readily.

Table 3: Decomposition I: Rural-Urban

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Overall		0.326 (0.0020)		0.326	100.00		0.363 (0.0022)		0.363	100.00
Intra-group effect				0.281	86.25				0.291	80.15
Rural	0.65	0.286	0.993	0.185	56.75	0.61	0.305	0.993	0.185	50.96
Urban	0.35	0.344	0.799	0.096	29.45	0.39	0.376	0.727	0.107	29.48
Inter-group effect				0.045	13.75				0.072	19.85

1 The numbers in parentheses are the standard errors.
2 Consumption share is the share of this group in the total consumption.
3 Contribution is the absolute contribution of each term to the total Gini.
4 % is the proportion of the contribution of each term to the total Gini.

5.3 Inter-State Decomposition

Table 4 presents the summary results of the inter-state decomposition in India. According to these results too, a bigger share of the overall inequality is explained by the intra-state inequality (more than 85% in both years). In terms of changes across the two points in time, it is evident that both inter-group as well as intra-group inequality rose in absolute terms, although the proportion of the overall inequality explained by the inter-state component has risen (from 10% to about 15%). States like Gujarat, Haryana, Karnataka, Andhra Pradesh, West Bengal and Kerala have begun to grow more rapidly than other states while they have also witnessed fairly steep increases in their inside-inequality, while other high-growth states like Maharashtra and Tamil Nadu have witnessed moderate increases in inequality (based on own calculations from the NSS surveys; and for growth rates of state domestic product, see Jayadev et al 2007; also see Banerjee et al 2009).

Table 4: Decomposition II: Inter-State

Overall Decomposition	Gini (1993-94)	%	Gini (2004-05)	%
Total	0.326	100	0.363	100
Intra-group	0.292	89.56	0.312	85.96
Inter-group	0.034	10.44	0.051	14.04

5.4 Simplified Class Decomposition

Table 5 (p 72) presents the results of the simplified class decomposition. Inter-class inequality rose quite significantly. This is self-evident from the discussion regarding the gainers in the simplified class structure story above, with the urban elites making significant relative gains while the urban working people and the rural working people have lagged behind. Intra-class component also rose marginally. The main contribution to the increase in the intra-class component comes from the urban classes and the non-agricultural working class. Also, Gini indexes of these two classes have begun to witness steady increase. In terms of overlapping, both urban elite and urban workers have witnessed significant declines in their indexes, suggesting that these classes have begun to get more stratified vis-à-vis the rural classes. The increase in the intra-group component of the rural non-agricultural working class needs more careful examination and further investigation. However, an initial hypothesis is that there is increased distress migration from among the agricultural poor to the non-agricultural population.

5.5 Detailed Class Decomposition

Table 6 (p 72) presents the results of the detailed class decomposition. First, there is a substantial increase in the between-class inequality. The entire increase in the overall Gini is accounted for

Table 5: Decomposition III: Simplified Class

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Overall Gini		0.326		0.326	100.00		0.363		0.363	100.00
Intra-group				0.257	79.04				0.263	72.24
Urban elite	0.131	0.357	0.664	0.031	9.51	0.167	0.389	0.553	0.036	9.92
Urban workers	0.218	0.32	0.838	0.059	18.10	0.223	0.34	0.786	0.059	16.25
Rural elite	0.321	0.292	0.937	0.088	26.99	0.283	0.318	0.929	0.084	23.14
Non-agriculture workers	0.058	0.274	0.968	0.015	4.60	0.092	0.313	0.997	0.029	7.99
Small peasants	0.134	0.265	0.946	0.034	10.43	0.123	0.273	0.946	0.032	8.82
Ag workers	0.139	0.24	0.931	0.031	9.51	0.113	0.233	0.895	0.024	6.61
Inter-group				0.068	20.76				0.100	27.66

by the increase in the between-class inequality. This is by far the most significant decomposition result. The details of the nature of this increase in the between-class inequality have been discussed in Section 4. From the overlapping indexes in Table 6, the urban professionals (service and manufacturing)[11] on the one side, and the marginal farmers and agricultural workers on the other side have become more stratified at the top and bottom respectively. Substantial reductions have been noted for urban professionals, urban informal managers/owners, skilled workers in manufacturing, rural professionals, and rural moneylenders. All these groups have become more stratified at the top and are performing better than other members of society. For some classes such as formal owners and managers as well as non-agricultural workers, the Gini coefficients also show substantial increase.

Table 6: Decomposition IV: Detailed Class

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	Prop	Consumption Share	Gini	Overlap	Contribution	Prop
Overall Gini		0.326		0.326	100.00		0.363		0.363	100.00
Intra-class				0.245	75.22				0.245	67.49
Owner/manager (formal)	0.023	0.352	0.418	0.003	1.04	0.030	0.425	0.460	0.006	1.65
Owner/manager (informal)	0.052	0.335	0.755	0.013	4.03	0.073	0.358	0.635	0.017	4.68
Manufacturing-professional	0.029	0.363	0.682	0.007	2.20	0.009	0.343	0.420	0.001	0.55
Manufacturing-skilled	0.075	0.304	0.827	0.019	5.78	0.083	0.330	0.784	0.021	6.06
Manufacturing-unskilled	0.020	0.291	0.978	0.006	1.75	0.014	0.300	0.942	0.004	2.48
Service-professional	0.026	0.322	0.449	0.004	1.15	0.027	0.341	0.295	0.003	0.55
Service-skilled	0.073	0.317	0.661	0.015	4.69	0.070	0.340	0.556	0.013	2.75
Service-unskilled	0.050	0.302	0.859	0.012	3.98	0.056	0.292	0.785	0.013	2.20
Urban-unclassified	0.001	0.312	0.699	0.000	0.07	0.028	0.416	0.543	0.006	1.65
Rich farmer	0.080	0.277	0.855	0.019	5.81	0.064	0.301	0.852	0.016	4.41
Middle farmer	0.074	0.275	0.933	0.019	5.82	0.064	0.268	0.904	0.016	4.41
Small farmer	0.089	0.249	0.928	0.020	6.31	0.079	0.266	0.929	0.020	5.51
Marginal farmer/tenant	0.045	0.297	0.979	0.013	4.01	0.043	0.283	0.976	0.012	3.31
Agriculture workers	0.139	0.240	0.931	0.031	9.53	0.113	0.233	0.895	0.024	6.61
Rural professional	0.033	0.329	0.898	0.010	2.99	0.024	0.392	0.669	0.006	1.65
Rural moneylender	0.001	0.281	0.781	0.001	0.07	0.001	0.192	0.283	0.001	0.001
Absentee LL+non-agriculture self-employed	0.032	0.287	0.938	0.009	2.64	0.048	0.328	0.936	0.015	4.13
Non-agriculture self-employed	0.054	0.273	0.964	0.014	4.36	0.061	0.3	0.979	0.018	4.96
Absentee LL+others	0.012	0.266	0.850	0.003	0.83	0.012	0.298	0.770	0.003	0.83
Non-agriculture workers	0.058	0.274	0.968	0.015	4.72	0.092	0.313	0.997	0.029	7.99
Rural unclassified	0.036	0.315	0.980	0.011	3.41	0.01	0.358	0.904	0.003	0.01
Inter-class				0.081	24.78				0.118	32.51

5.6 Urban Class Decomposition

Table 7 presents the decomposition of urban classes taking the urban sector as a self-contained whole. First, the urban inequality as a whole is higher than the overall Indian inequality at both points in time. Second, urban inequality registered an increase of almost 10% in terms of the Gini coefficient during the period of study. Both the intra-class and the inter-class inequality have registered an increase during this period although the inter-class inequality rose more significantly. This latter increase is primarily because of the growing gap between the professionals, owners and managers in the formal and informal sectors vis-à-vis unskilled workers. The increase in the intra-class inequality has come about mainly because the informal sector owners and managers have grown much larger as well as become more unequal during this period. There is also evidence of a significant increase in their overlapping index implying that this class has become less stratified.

Table 7: Decomposition V: Detailed Urban Classes

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Total		0.344		0.344	100.00		0.376		0.376	100.00
Intra-class				0.293	85.10				0.305	80.92
Owner/manager (formal)	0.065	0.352	0.677	0.015	04.50	0.076	0.425	0.775	0.025	06.66
Owner/manager (informal)	0.150	0.335	0.966	0.049	14.11	0.187	0.358	0.928	0.062	16.52
Manufacturing-professional	0.083	0.363	0.911	0.027	07.98	0.025	0.343	0.738	0.006	01.68
Manufacturing-skilled	0.216	0.304	0.987	0.065	18.84	0.213	0.330	0.994	0.070	18.58
Manufacturing-unskilled	0.058	0.291	0.995	0.016	04.88	0.034	0.297	0.956	0.010	02.57
Service-professional	0.075	0.322	0.712	0.017	05.00	0.068	0.341	0.586	0.014	03.61
Service-skilled	0.208	0.317	0.890	0.059	17.06	0.179	0.340	0.856	0.052	13.86
Service-unskilled	0.144	0.303	0.988	0.043	12.53	0.145	0.292	0.948	0.040	10.68
Unclassified	0.002	0.312	0.936	0.001	00.17	0.073	0.416	0.850	0.026	06.87
Inter-class				0.051	14.90				0.072	19.08

Table 8: Decomposition VI: Detailed Rural Classes

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Total		0.286		0.286	100.0		0.305		0.305	100.0
Intra-group effect				0.253	88.40				0.263	86.38
Rich farmer	0.123	0.277	0.822	0.028	9.79	0.105	0.301	0.809	0.026	8.52
Middle farmer	0.114	0.275	0.924	0.029	10.14	0.105	0.268	0.908	0.026	8.52
Small farmer	0.136	0.249	0.941	0.032	11.19	0.13	0.266	0.946	0.033	10.82
Marginal farmer/tenant	0.069	0.297	0.967	0.020	6.99	0.071	0.283	0.995	0.020	6.56
Agriculture worker	0.213	0.24	0.988	0.051	17.83	0.185	0.233	0.969	0.042	13.77
Rural moneylenders	0.001	0.281	0.717	0.001	0.00	0.001	0.192	0.183	0.001	0.001
Rural professional	0.05	0.329	0.854	0.014	4.90	0.039	0.392	0.564	0.009	2.95
Absentee LL+non-agriculture self-employed	0.049	0.287	0.92	0.013	4.55	0.078	0.328	0.903	0.023	7.54
Non-agriculture self-employed	0.083	0.273	0.97	0.022	7.69	0.1	0.3	0.977	0.029	9.51
Absentee LL+others	0.018	0.266	0.821	0.004	1.40	0.019	0.298	0.712	0.004	1.31
Non-agriculture workers	0.089	0.274	0.972	0.024	8.39	0.151	0.313	1.001	0.047	15.41
Rural unclassified	0.056	0.315	0.963	0.017	5.94	0.016	0.358	0.853	0.005	1.64
Inter-group effect				0.033	11.60				0.041	13.62

Table 9: Decomposition VII: Detailed Agrarian Classes

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Total		0.277		0.277	100.00		0.281		0.281	100.00
Intra-class				0.241	86.93				0.243	86.44
Rich farmer	0.188	0.277	0.796	0.041	14.80	0.176	0.301	0.779	0.041	14.59
Middle farmer	0.174	0.275	0.906	0.043	15.52	0.177	0.268	0.894	0.042	14.95
Small farmer	0.208	0.249	0.932	0.048	17.33	0.218	0.266	0.938	0.054	19.22
Marginal farmer/tenant	0.106	0.297	0.95	0.030	10.83	0.119	0.283	0.987	0.033	11.74
Agriculture worker	0.325	0.240	0.999	0.078	28.16	0.310	0.233	0.987	0.071	25.27
Inter-class				0.036	13.07				0.038	13.56

Table 10: Decomposition VIII: Detailed Non-Agricultural Classes

	1993-94					2004-05				
	Consumption Share	Gini	Overlap	Contribution	%	Consumption Share	Gini	Overlap	Contribution	%
Total		0.297		0.297	100.00		0.333		0.333	100.00
Intra				0.283	95.28				0.303	90.96
Rural moneylenders	0.001	0.281	0.801	0.001	0.001	0.001	0.192	0.24	0.001	0.001
Rural professional	0.146	0.329	0.916	0.044	14.81	0.097	0.392	0.641	0.024	7.21
Absentee LL+non-agriculture self-employed	0.142	0.287	0.966	0.039	13.13	0.194	0.328	0.949	0.06	18.02
Non-agriculture self-employed	0.24	0.273	0.997	0.065	21.89	0.248	0.3	1.005	0.075	22.52
Absentee LL+others	0.051	0.266	0.876	0.012	4.04	0.047	0.298	0.771	0.011	3.30
Non-agriculture workers	0.257	0.274	1	0.07	23.57	0.374	0.313	1.024	0.12	36.04
Rural unclassified	0.162	0.315	1.006	0.052	17.51	0.039	0.358	0.909	0.013	3.90
Inter				0.014	4.72				0.030	9.04

This class includes some wealthy businesses (such as in retail or wholesale) as well as some poor self-employed urban residents. From the overlapping index analysis, an upper-end stratification is visible among professionals, while the unskilled workers are showing a tendency towards stratification at the bottom.

5.7 Rural Class Decomposition

Table 8 presents the results of the decomposition of the rural classes with the rural sector considered a self-contained whole. Overall inequality within the rural sector has risen moderately (about 5%). From the results it is clear that this increase has come about mainly because of the increase in the inequality among the non-agricultural groups and the increase in the inequality between the agrarian and non-agrarian classes. Both the inter-class and intra-class components have registered almost an equal increase in absolute terms, although as a percentage of the overall rural inequality, inter-class component now explains a higher proportion. In terms of the intra-class component, the largest increase has come about among the non-agricultural workers, whose overlapping index has crossed one, implying increased polarisation within this group. Given also the fact that this group has witnessed a swelling in its ranks, probably an increasing number of agricultural workers and distressed marginal farmers/tenants are joining the non-agricultural workforce. In terms of overlapping index, the most significant stratification stories are for the rural professionals, rural moneylenders and rural absentee landlords. As noted above, the rentier classes have become increasingly more stratified.

5.8 Agrarian Class Decomposition

Table 9 presents the decomposition results of the agrarian classes as a separate whole. It is evident that the inequality in the agrarian sector has remained stagnant. Both the intra- and inter-class components of inequality have also remained largely unchanged. The overlapping index has also not underdone transformations. This suggests that the agrarian class structure itself has largely remained unchanged during the period of economic reforms even as the populous agricultural groups have witnessed relative impoverishment vis-à-vis the non-agricultural population.

5.9 Rural Non-agricultural Class Decomposition

Table 10 presents the decomposition results of the rural non-agricultural sector. The non-agricultural sector has witnessed a significant increase in inequality (of almost 10%) with both the intra- and inter-class components showing equal absolute increases, although as a proportion, the inter-class component explains a higher proportion of the overall inequality at the later point in time. The inter-class component has registered an increase primarily because the rentier classes and the rural professionals have become more stratified at the top. The intra-class component has shown an increase primarily because the non-agricultural workers have both increased in proportion as well as have witnessed a certain degree of polarisation (from the overlapping index) that suggests a distress movement from the agrarian sector as described above. This phenomenon needs to be carefully investigated through further research.

6 Explanations and Discussion

The Indian growth strategy of the 1990s and this decade have led to increased economic inequality among its population. The emerging patterns of this inequality have been discussed above. How do we understand and explain these patterns of inequality?

Several studies have pointed to increased distress in the agrarian sector in India. More than 1,00,000 farmer suicides have occurred between 1998 and now. Agricultural growth has lagged far behind the growth in other sectors such as services and manufacturing. This has been attributed to policies of economic liberalisation[12] as well as a slowdown caused by a decline in the returns from green revolution technologies (Vakulabharanam and Motiram 2007). Policies of economic liberalisation have tended to cause a reduction in public investment in agriculture, as well as partial withdrawal of state support to various small farming groups. Especially before 2004-05 (this study focuses on that period), the cutback in subsidies and the slow growth of subsidised agricultural credit on the one hand, and the introduction of trade liberalisation on the other, which caused agricultural output prices to fall for some key agricultural commodities, caused a "double squeeze" of the farming community. Now it is well documented that this has led to an increased dependence of the small farmers on informal moneylenders, who also frequently combine other roles (such as that of merchant) with money lending causing an increase in their market power vis-à-vis small peasants (Reddy and Mishra 2009). This has led to a further deterioration of the farmers' living standards as they now have to pay much higher interest rates (compared to the institutional rates), and also sometimes lose control over the cropping pattern decision and so forth (Vakulabharanam 2004). All in all, the agricultural sector has suffered the worst and this reflects in the reduced consumption shares of all the populous groups in agriculture but especially of the marginal farmers, tenants and agricultural workers. Indian growth strategy has tended to leave agriculture and a majority of its population behind as the above analysis based on consumption data suggests. At the same time, it is evident that the rentier classes (such as moneylenders and absentee landlords) have cashed in on the state withdrawal to make steady gains. When the agrarian sector is in distress, does the rest of the economy provide opportunities for migration for these peasants?

The rural non-agricultural sector has seen impressive gains at a first glance. However, when we do a careful class analysis it is mostly the non-working groups (mentioned above) that have witnessed improvements. The rural non-agricultural working population has seen improvement but its ranks have almost doubled while the inequality within this group has undergone a big increase. The latter probably results primarily from the distress that the agricultural sector has undergone causing an outward migration. In the wake of insufficient employment opportunities in the urban areas, this migration shows up as intra-rural. Clearly, while there are improvements in this sector, they do not compare with the massive development that the Chinese non-agricultural sector witnessed, especially in the 1980s and 1990s. One of the main objectives[13] of the relatively new special economic zone (SEZ) strategy implemented mostly in rural areas for rapid industrialisation is the increase in the level of non-agricultural employment, although results are far from evident. Apart from the enormous dispossession of peasantry that this strategy has tended to generate in states such as Maharashtra, Andhra Pradesh and West Bengal, the positive net employment effects have not appeared on the horizon.

The urban sector has grown more rapidly than the rural sector during this period with the growth path skewed in favour of the organised services sector. It is now well known that the Indian government (as the rest of the world) has been seeing the Indian economy as primarily driven by service sectors such as information technology, biotechnology, finance, insurance, real estate, transport, hotels and so forth. These and other similar sectors have, therefore, received a lot of infrastructural support, as well as have benefited from easier legislation. The main beneficiaries of this set of policies (they can also be termed policies towards globalisation) have been the upper end of formal workers (professionals) employed in these industries as well as the capitalist and managerial cadres. These sectors have typically been export-led, skill-intensive and dependent on overseas demand for their sustenance. In contrast, the manufacturing sector[14] in India has been witnessing impressive growth only in recent years, although the professionals in this sector have witnessed impressive gains through the period as the survey results indicate.

The informal sector owners and managers within urban areas have seen impressive growth in their consumption even as the inequality within this group has increased sharply. This group is operating within the high-income generating arenas such as retail and wholesale, as well as low-income generating arenas such as self-employed petty vendors. The consumption shares of the unskilled workers have declined sharply suggesting that the Indian growth trajectory has not been a rising tide for most groups in the society. In sum, the distress in the agrarian sector has not been countered by a rapid growth of decent employment opportunities in other sectors. The fact that the share of informal workers (informal workers in the informal as well as the formal sectors) in the total employment rose slightly during the first decade of reforms to more than 92% of the total employment is indicative of the fact that decent employment opportunities on a large-scale have simply not been forthcoming from the formal high-growth sectors (from NSS report on the informal sector in India in 2004-05, Report 519).

When we analyse the macroeconomic growth statistics for the Indian economy during the period of analysis (1994-2005), Indian growth has been led largely by investment, exports (not net exports) and private consumption initially until 2002, and after 2002, consistently by investment and exports.[15] However, consumption shares of almost all the poor groups have witnessed declines implying that it has been luxury consumption that has driven the private consumption growth patterns. Similarly, it is now widely documented that investment in agriculture has not kept pace (Reddy and Mishra 2009), suggesting once again that it has been investment in non-agricultural sectors that has seen impressive growth. With this clarity, we can see how luxury consumption, non-agricultural investment and export-led growth sectors have tended to become enclave-like, while the rest of the economy that contains the predominant majority in India has not significantly benefited from the growth process. While some economists argue about the "trickle-down" effects of this sort of a growth process, it has not been visible in the Indian economy so far on any large scale. It is this skewed growth process that explains the increase in the overall inequality after 1991 reversing the impressive record with inequality in the 1980s decade.

The above evidence buttresses the understanding that there is a consolidation of a new class structure in India as has been noted in other analyses (Chatterjee 2008). Until the 1980s, literature about the pan-Indian class structure points to two ideas: an intermediate class regime (originally proposed by Kalecki 1972 and applied to India by Raj 1973); or a loose coalition of dominant classes (Bardhan 1984). In the intermediate regime story, the urban intermediate class (self-employed groups, small and medium enterprise owners, traders and bureaucrats), and the rural intermediate class (middle peasants) played a big role in determining state policies at the expense of the big bourgeoisie. In the dominant class story, rural elites, urban middle class bureaucrats and big bourgeoisie jostled for supremacy with none achieving it fully and the state more or less acting in a domain of relative autonomy (McCartney and Harriss-White 2000 for a discussion of the variants of the class regimes idea applied to pre-liberalisation India). The state operated with an ambivalence wherein it took part in accumulation activities, worked for the conflicting interests of the dominant classes, while also appearing to take on a broadly developmentalist and progressive pro-poor role for itself. This class structure along with the role of the state is supposed to explain both the tendencies towards stagnation in the economy as well as why certain classes tended to benefit disproportionately during the phase of relative stagnation until 1980. After 1991, as the NSS survey results indicate, the dominant classes are the urban elites. Urban elites have incorporated the professionals (some may use the term "upper income middle classes") from among the working people, as well as the state in pushing through the agenda of economic liberalisation. The state has consequently reduced its own accumulation role quite significantly. The rural intermediate classes are not quite as important in this new scheme, although their interests are usually protected, directly or indirectly.[16] Members of this class have also unevenly moved on to urban occupations to become constituents of urban capitalist classes (Damodaran 2008). The working groups (the rural poor – small and marginal farmers, agricultural workers; as well as the urban poor – unskilled urban workers) are no longer among the main foci of the state but their interests have continued to be addressed mainly through a populist mode in order to enlist their support during elections.[17] The owners and managers in the informal sector in urban areas are quite heterogeneous and certain groups (e g, wholesale and retail)[18] have probably benefited (even this may not last long once liberalisation takes deep roots in these occupations) while a large section (petty vendors) has probably not. However, the employment numbers suggest that the informal sector as stated above plays the key role of absorbing employment in the face of insufficient employment opportunities in the formal sector, although this does not apparently improve the consumption levels of the informal workers (in the unskilled category in our datasets) as the above analysis shows. This consolidation of a new class structure comes through largely in the analysis of the levels and changes in the consumption patterns as revealed by the NSS consumption surveys.

Several policy conclusions follow if this skewed pattern of growth and rising inequality need to be counteracted. First, it is obvious that the agricultural sector needs higher public investments and better support in terms of promoting institutional lending and so forth. However, it is the poor peasants and agricultural workers who really need to be supported. In this context, an effective way to counter landlessness (in which group, poverty is quite concentrated) is to implement land reforms. Better market-mediation structures need to be developed, for instance, in the creation of input-procurement and output-marketing cooperatives among farmers (Motiram and Vakulabharanam 2007). This could potentially make the rural sector much more egalitarian and may even contribute to higher growth due to improved consumption within the rural areas due to this. Second, the enclave sectors in the urban areas need to be opened up in favour of labour-intensive strategies of economic development. This will begin to generate more employment in urban areas, which will once again improve consumption levels of the poorer working groups. Third, the non-agricultural sector needs to be developed along cooperative lines, perhaps taking a cue from the Chinese growth strategy especially in the 1980s and 1990s. Implementing these measures will put the Indian economy on a sounder, more sustainable and a more equal growth path.

NOTES

1 Also see a forthcoming volume – *A Great Transformation? Understanding India's New Political Economy*, edited by Sanjay Ruparelia, Sanjay Reddy, John Harriss and Stuart Corbridge (New York: Columbia University Press), in which "class", among other important axes, received serious attention.

2 In a different work, where Indian and Chinese class structures are compared, it is shown that while the increase in Indian inequality between 1993-94 and 2004-05 can be attributed to the increase in the between-class inequality, the increase in Chinese inequality between 1995 and 2002 can be attributed to an increase in the within-class inequality. See Vakulabharanam, Zhong and Xue (2009).

3 This decomposition methodology has been applied in two previous studies – Wolff and Zacharias (2009) in the US context and Zacharias and Vakulabharanam (2009) in the context of caste groups and Indian wealth inequality.

4 This framework for urban areas is somewhat similar to the one employed by Wright (1997) although a further sectoral subdivision into services and manufacturing is not done in Erik Wright's work. Professionals are different from skilled workers in the sense that professionals usually do white-collar kind of work and possess greater autonomy/control than the skilled blue-collar workers. An example would be an engineer and a lathe worker in a factory.

5 This is not merely in the nature of labour (material vs immaterial as Hardt and Negri (2000) point out) but also in terms of the inequalities among different workers. It is observed that the service

sector has a much greater inequality among its workers compared to manufacturing.

6 See Utsa Patnaik's (1987) agrarian class schema, for a similar framework. She uses her framework in fieldwork based methodology to generate these categories, not large surveys as presented in the current work.

7 Irrigated land is considered to be equivalent to twice the non-irrigated land. This is based on yield per acre calculations during my field research in Telangana villages.

8 The fact that the formal sector owners and managers do not witness a gain in their relative position although all other perceptions are to the contrary indicates how under-sampled this category is in the overall sample.

9 As mentioned above, this framework and its description are also available in Wolff and Zacharias (2009) and Zacharias and Vakulabharanam (2009), apart from the original description in Yitzhaki (1994).

10 In contrast, in the standard decomposition, the between-group component would be equal to twice the covariance between the consumption of each group and the rank of each group's mean consumption divided by overall mean consumption. The Yitzhaki decomposition takes into account the ranking of each individual within each group in the overall distribution.

11 In the case of the formal owners and managers, the overlapping index is in the range of 0.4, which suggests high stratification although it showed a tendency to increase suggesting lesser stratification. This tendency may be due to the sampling problem alluded to above.

12 Since 2004, certain reversals in policy have come about such as the introduction of the National Rural Employment Guarantee Scheme. The results of this act and other reversals would have to be evaluated when the next consumption survey is released.

13 Of course, the other and more important premise for the policymakers is that it will generate high growth along the Chinese lines.

14 It remains to be seen if this will result in employment generation like in the case of China.

15 For the whole period 1994-2005, if we take the National Accounts figures, about 60% of the cumulative growth can be attributed to private consumption, over 30% can be attributed to investment and about 30% to exports (not net exports) making these three components the main pillars of Indian growth (Source: Calculations from CSO Data on macroeconomic aggregates, Ministry of Statistics, India).

16 Usually in the formulation of minimum support price policies or in the prevention of large-scale land reform process, the interests of rural elites continue to be protected. Also, the rural intermediate classes have considerably diversified themselves into urban activities so that they have one foot in the rural and another foot in the urban areas. See Vakulabharanam and Motiram (2008) for a further discussion of these issues.

17 Chatterjee (2008) calls this phenomenon as the reversal of the primitive accumulation wherein the state counteracts the dispossession of the poor by throwing certain benefits in their direction.

18 With the onset of corporate retail services in the more recent years, it may be hard for the informal retailers to compete and continue to make gains.

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